ITT Inc.

Recommendation	**Price**	**12-Mo. Target Price**	**Report Currency**	**Investment Style**
BUY ★★★★★	USD 92.31 (as of market close Oct 27, 2023)	USD 110.00	USD	Mid-Cap Blend

Equity Analyst Jonathan Sakraida

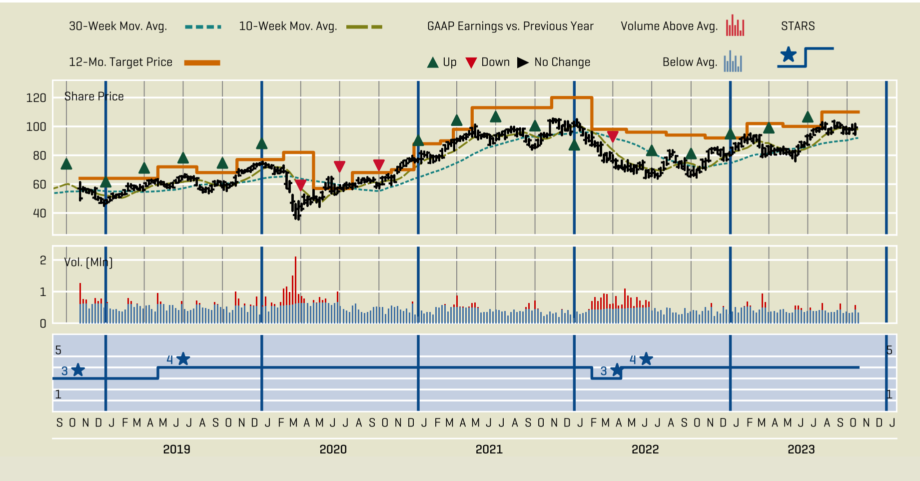
GICS Sector Industrials
Sub-Industry Industrial Machinery and Supplies and Components

Summary ITT is a diversified industrial manufacturer of advanced technology products, serving transportation, industrial, and energy markets.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)

52-Wk Range	**USD 103.96 - 69.96**	Oper.EPS2023**E**	**USD 5.12**	Market Capitalization[B]	**USD 7.58**	Beta	**1.44**
Trailing 12-Month EPS	**USD 4.9**	Oper.EPS2024**E**	**USD 5.65**	Yield [%]	**1.26**	3-yr Proj. EPS CAGR[%]	**15**
Trailing 12-Month P/E	**18.84**	P/E on Oper.EPS2023**E**	**18.03**	Dividend Rate/Share	**USD 1.16**	SPGMI's Quality Ranking	**B**
USD 10K Invested 5 Yrs Ago	**20,036.0**	Common Shares Outstg.[M]	**82.00**	Trailing 12-Month Dividend	**USD 1.13**	Institutional Ownership [%]	**93.0**

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Jonathan Sakraida** on Aug 07, 2023 03:20 AM ET, when the stock traded at **USD 101.18**.

Highlights

- We see high-single-digit organic sales growth of ~7% in '23, driven primarily by pricing and volume gains, backed by demand for industrial pumps, OE brake pads, aerospace and defense components, and EV and medical connectors. We expect global OEM market share gains in the automotive friction and brake pads businesses as well as incremental benefits from acquisitions. We see momentum in aerospace demand ramping higher through '23, coinciding with strong global air travel. Oil & gas markets are expected to remain supportive and we see ITT continuing to diversify and broaden its energy exposure (i.e., hydrogen/LNG). ITT is investing in EVs and other technology to ensure it remains a market leader, which we see bearing fruit through sales and margin gains.
- We expect adj-operating margin to rise 100 bps to 18.2% in '23. In our view, pricing benefits across ITT's businesses, productivity improvements, and easing cost inflation will drive margins higher in '23.
- We forecast FCF to rise to $400M in '23. We see capital investments continuing to be routed toward productivity enhancements and growth in EV market share over the coming quarters. In '23, we expect M&A to take precedence over share buybacks.

Investment Rationale/Risk

- Our Buy opinion reflects our outlook for benefits from recent acquisitions, strength in ITT's balance sheet, and exposure to recovering end markets. ITT is focusing on expansion of its OEM footprint in its Motion Tech segment, especially with global electric vehicle manufacturers. We are encouraged by the company's electrified platform wins within the friction business and ITT's progress towards gaining nearly 37% share of all global OE electrified vehicle volumes by 2025. We expect Connect & Control Tech results to be supported by the continued recovery in commercial aerospace and accelerating demand for defense products. Headwinds from material cost inflation and supply chain disruptions persist, yet are expected to gradually ease through '23. We see additional pricing actions being implemented in '23, helping to offset persistent inflationary pressures.
- Key risks to our rating and target include soft demand for brake pad components and shock absorbers, competitive price pressures, slower-than-expected economic activity, and higher input cost inflation.
- Our 12-month target of $110 is 19.4x our '24 EPS, near ITT's five-year forward average.

Analyst's Risk Assessment

LOW | **MEDIUM** | HIGH

Our risk assessment reflects our view of ITT's solid balance sheet and focus on new product development and innovation, partly offset by ITT's exposure to foreign exchange volatility, cyclical end markets (oil and gas, auto, aerospace, chemical), and persistent restructuring programs.

Revenue/Earnings Data

Revenue (Million USD)

	1Q	2Q	3Q	4Q	Year
2024	**E** 846	**E** 884	**E** 847	**E** 879	**E** 3,455
2023	798	834	**E** 806	**E** 829	**E** 3,267
2022	726	733	754	776	3,176
2021	698	692	690	685	2,765
2020	663	515	591	709	2,478
2019	696	720	712	719	2,846

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2024	**E** 1.29	**E** 1.48	**E** 1.42	**E** 1.46	**E** 5.65
2023	1.17	1.33	**E** 1.27	**E** 1.35	**E** 5.12
2022	0.97	0.98	1.20	1.29	4.44
2021	1.06	0.94	0.99	1.06	4.05
2020	0.80	0.57	0.82	1.01	3.20
2019	0.91	0.93	0.97	0.99	3.81

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.2900	Aug 01	Aug 31	Sep 01	Oct 02 '23
0.2900	May 10	Jun 08	Jun 09	Jul 03 '23
0.2900	Feb 09	Mar 08	Mar 09	Apr 03 '23
0.2640	Nov 01	Nov 30	Dec 01	Dec 30 '22

Dividends have been paid since 1971 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

ITT Inc.

Business Summary May 10, 2023

CORPORATE OVERVIEW. ITT Inc. (ITT) is a diversified manufacturer of highly engineered critical components and customized technology solutions for the energy, transportation, and industrial markets. ITT has a balanced and diversified portfolio of businesses, which are organized into three segments:

Industrial Process (IP; 32% of 2022 revenues) has a portfolio of pumps, valves, and services that can be found in all industrial processes, serving an extensive base of customers from large multi-national companies and engineering, procurement, and construction (EPC) firms to regional distributors to end-user customers. IP's customers operate in global infrastructure and natural resource markets such as oil & gas, chemical and petrochemical, general industrial, mining, pulp and paper, and power generation.

Motion Technologies (MT; 46%) is a global leader in designing, manufacturing, and selling brake pads, shock absorbers, damping, and sealing technologies to the automotive and broader transportation market. MT consists of three business units, Friction Technologies, KONI & Axtone, and Wolverine.

Connect & Control Technologies (CCT; 22%) is the combination of the former Interconnect Solutions and Control Technologies segments. The segment designs and manufactures engineered connectors and specialized control components for critical applications to support aerospace, defense, industrial, transportation, medical, and oil & gas markets. CCT has a global footprint with major facilities in the U.S., Mexico, Germany, China, and Japan.

ITT possesses strong leading brands, such as Goulds Pumps, Bornemann, Engineered Valves, Cannon, VEAM, BIW Connector Systems, KONI, Wolverine, Enidine, Hartzell Aerospace, and ITT, in many of its niche markets. By geography, North America made up 41% of total revenue in 2022, while Europe and Asia accounted for 33% and 18%, respectively. 8% of sales were generated in all other markets.

CORPORATE STRATEGY. ITT seeks to expand revenues through a combination of internal growth and acquisitions. We expect the company to increase revenues via new products, expanded markets, and acquisitions. The company plans to grow in key emerging markets and also sees the aftermarket as an opportunity for greater penetration. The company is also investing in technology and innovation to facilitate new platform and project wins. ITT strives for continuous improvement and cost savings to improve margins and net income.

BUSINESS DEVELOPMENTS. In April 2022, ITT announced its $140 million acquisition of Habonim, an Israeli-based manufacturer of industrial valves and actuators. Habonum's business serves chemical, liquefied natural gas, pharmaceutical, and general industrial markets. ITT views the acquisition as a driver for stronger sales growth within the industrial process segment. The transaction closed in the second quarter of 2022.

FINANCIAL TRENDS. In the five years through 2022, ITT grew revenue at a compound annual growth rate (CAGR) of 3%. In the same time period, EPS expanded at an 28% CAGR and EBITDA increased at a 7% CAGR. ITT has grown its dividend at a five-year CAGR of 16%. Total backlog (in millions) as of December 31, 2022, was around $1.1 billion, up 22% organically vs. the prior year.

Corporate information

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Officers

VP & Chief Accounting Officer
C. De Mesa Graziano

Senior VP & CFO
E. Caprais

Senior VP, General Counsel & Corporate Secretary
L. B. Marino

Independent Chairman of the Board
T. H. Powers

CEO, President & Director
L. Savi

Board Members

C. L. Shavers
D. DeFosset
K. C. Berryman
L. Savi
N. C. Fanandakis
N. C. Keene
R. A. McDonald
R. P. Lavin
T. H. Powers

Domicile
Indiana

Auditor
Deloitte & Touche LLP

Founded
1920

Employees
10,300

Stockholders
6,036

ITT Inc.

Quantitative Evaluations

Fair Value Rank

1 | 2 | 3 | 4 | 5

LOWEST — HIGHEST

Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).

Fair Value Calculation USD 88.87 — Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that ITT is overvalued by USD 3.44 or 3.73%

Volatility LOW | AVERAGE | HIGH

Technical Evaluation NEUTRAL — Since September, 2023, the technical indicators for ITT have been NEUTRAL"

Insider Activity UNFAVORABLE | NEUTRAL | FAVORABLE

Expanded Ratio Analysis

	2022	2021	2020	2019
Price/Sales	2.27	3.20	2.71	2.30
Price/EBITDA	12.03	16.26	14.78	12.74
Price/Pretax Income	14.70	17.36	78.92	15.80
P/E Ratio	18.27	25.23	24.07	19.40
Avg. Diluted Shares Outstg. (M)	83.70	86.50	87.30	88.60

Figures based on fiscal year-end price

Key Growth Rates and Averages

Past Growth Rate (%)	1 Year	3 Years	5 Years
Net Income	16.03	4.12	26.45
Sales	8.05	1.63	2.94
Ratio Analysis (Annual Avg.)			
Net Margin (%)	12.28	8.88	10.05
% LT Debt to Capitalization	0.28	0.41	0.45
Return on Equity (%)	16.52	11.50	14.12

Company Financials Fiscal year ending Dec 31

Per Share Data (USD)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	14.00	14.02	12.15	11.16	8.85	5.80	5.13	4.12	5.11	4.61
Free Cash Flow	2.09	-1.12	4.30	3.05	3.10	1.49	1.58	1.58	1.31	0.96
Earnings	4.40	3.64	0.78	3.65	3.75	1.29	2.02	3.44	2.03	5.28
Earnings (Normalized)	4.44	4.05	3.20	3.81	3.23	2.59	2.32	2.55	2.47	2.02
Dividends	1.06	0.88	0.68	0.59	0.54	0.51	0.50	0.47	0.44	0.40
Payout Ratio (%)	23.95	23.96	81.38	16.03	14.17	40.00	23.97	12.17	22.06	7.45
Prices: High	105.01	105.54	79.63	74.63	63.04	54.79	43.07	43.96	49.42	43.66
Prices: Low	63.77	74.46	35.41	46.82	44.89	36.93	29.15	32.70	36.74	22.82
P/E Ratio: High	23.70	26.10	24.90	19.60	19.50	21.20	18.60	17.20	20.00	21.60
P/E Ratio: Low	14.40	18.40	11.10	12.30	13.90	14.30	12.60	12.80	14.90	11.30
Income Statement Analysis (Million USD)										
Revenue	2,988	2,765	2,478	2,846	2,745	2,585	2,405	2,486	2,655	2,497
Operating Income	457.00	430.00	343.00	400.00	360.00	306.00	276.00	313.00	298.00	245.00
Depreciation + Amortization	107.00	113.00	112.00	113.00	109.00	105.00	102.00	90.00	88.00	87.00
Interest Expense	6.00	N/A	N/A	N/A	0.00	1.00	N/A	N/A	2.00	1.00
Pretax Income	462.00	509.00	85.00	414.00	391.00	309.00	258.00	382.00	262.00	180.00
Effective Tax Rate	19.70	37.20	18.00	21.70	14.80	62.90	29.40	18.30	27.20	-171.50
Net Income	367.00	316.00	72.00	325.00	334.00	114.00	186.00	352.00	184.00	488.00
Net Income (Normalized)	279.90	266.50	214.70	253.90	224.40	191.10	171.40	197.00	181.40	148.70
Balance Sheet and Other Financial Data (Million USD)										
Cash	561.00	648.00	860.00	612.00	561.00	390.00	461.00	481.00	589.00	620.00
Current Assets	1,837	1,722	1,917	1,737	1,645	1,479	1,402	1,498	1,636	1,666
Total Assets	3,780	3,565	4,278	4,108	3,847	3,700	3,602	3,724	3,632	3,740
Current Liabilities	1,186	928.00	871.00	850.00	872.00	899.00	866.00	953.00	775.00	833.00
Long Term Debt	8.00	10.00	13.00	13.00	9.00	8.00	2.00	2.00	N/A	8.00
Total Capital	2,794	2,522	2,340	2,273	1,950	1,770	1,645	1,614	1,222	1,256
Capital Expenditures	104.00	88.00	64.00	91.00	96.00	113.00	111.00	87.00	119.00	123.00
Cash from Operations	278.00	-8.00	437.00	359.00	368.00	245.00	253.00	228.00	239.00	210.00
Current Ratio	1.55	1.86	2.20	2.04	1.89	1.64	1.62	1.57	2.11	2.00
% Long Term Debt of Capitalization	0.30	0.40	0.60	0.60	0.50	0.50	0.10	0.10	N/A	0.60
% Net Income of Revenue	12.30	11.40	2.90	11.40	12.20	4.40	7.70	14.20	7.00	19.60
% Return on Assets	7.77	6.86	5.11	6.29	5.96	5.24	4.71	5.31	5.06	4.29
% Return on Equity	16.50	14.70	3.30	16.60	19.50	7.60	13.10	24.10	15.70	51.30

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

ITT Inc.

Sub-Industry Outlook

Our 12-month fundamental investment outlook for the industrial machinery sub-industry is neutral, reflecting our outlook for moderating order growth as shipments and lead times improve, balanced by resiliency across a number of key end markets. In our view, drivers of machinery demand will be the ramping of aerospace and defense production lines, and strength in domestic oil and gas drilling activity. We expect these positive demand drivers to be offset by a softening manufacturing sector amid broader macro uncertainty.

The U.S. manufacturing sector remains in contraction territory following 28 months of growth, driven in part by moderating new order rates. Despite the recent softening of demand within the manufacturing sector, industrial machinery backlogs remain well-above historical levels (July U.S. Census Release: up 1% Y/Y; up 35% from February 2020). Several of the largest players within the sub-industry, including Parker-Hannifin, Otis, Ingersoll Rand, and Xylem, achieved sequential growth to already elevated backlogs during Q2. We anticipate backlogs being worked down as the year progresses on meaningful improvements in global supply chains and component availability. We see near-record backlogs providing a cushion amid a dynamic macro environment and supporting financial results over the coming quarters.

The U.S.'s large aerospace and defense manufacturing base is a key customer for the industrial machinery sub-industry, and we see these customers supporting order growth throughout 2023. Looking ahead, defense spending will likely be boosted in response to Putin's invasion of Ukraine, while at the same time, U.S. air travel demand has been robust. These factors are pushing Boeing, Airbus, and the major U.S. defense firms to ramp up production lines, which, in turn, should lead to healthy order growth for the industrial machinery sub-industry out of this customer group.

Machinery demand is also being supported by oil and gas companies. As of September 1, 2023 (per Baker Hughes), global oil and gas drilling activity was up 3% Y/Y, reflecting increasing global energy demand and supportive oil and gas prices. We expect activity surrounding oil and gas drilling and refining to be relatively solid through 2023 as prices remain favorable. Both upstream and downstream oil and gas players rely on many types of machinery, and higher production volumes could be a tailwind for the industrial machinery sub-industry over the next year if demand remains resilient and prices stay elevated.

We believe easing inflationary pressures from energy and material costs could support bottom line expansion in 2023. In July 2023, the producer price index for electric power in the U.S. was down 40% Y/Y. The index for global metal prices was up 4% Y/Y but down 23% from the 2022 peak. Easing cost inflation should lend to machinery customer profitability and support new equipment orders, though we see an uncertain macro backdrop being a limiting factor.

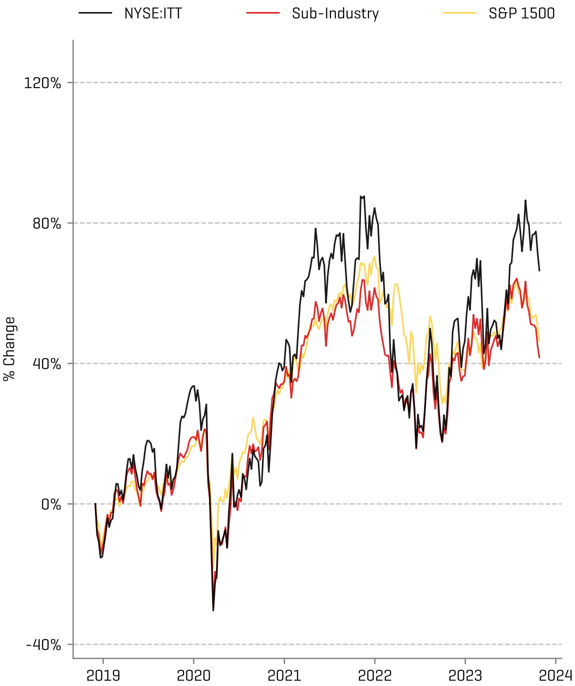
Year-to-date through August 31, the S&P 1500 Industrial Machinery Index rose 20.2%, outperforming the S&P 1500 Industrials Index (+13.1%) and the S&P 1500 Index (+17.9%).

/ Jonathan Sakraida

Industry Performance

GICS Sector: Industrials
Sub-Industry: Industrial Machinery and Supplies and Components

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 28, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Industrial Machinery and Supplies and Components Peer Group*: Industrial Machinery and Supplies and Components

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
ITT Inc.	**ITT**	**NYSE**	**USD**	**93.31**	**7,661.0**	**-1.8**	**26.5**	**19.0**	**88.87**	**1.2**	**19.6**	**0.2**
Chart Industries, Inc.	GTLS	NYSE	USD	146.58	6,153.0	-10.0	-28.8	26.0	N/A	N/A	2.4	56.1
Crane Company	CR	NYSE	USD	93.59	5,309.0	9.6	-3.5	17.0	46.80	0.8	28.3	16.3
Donaldson Company, Inc.	DCI	NYSE	USD	58.09	7,011.0	-1.5	5.2	20.0	N/A	1.7	29.2	24.4
Flowserve Corporation	FLS	NYSE	USD	36.84	4,834.0	-5.3	33.0	18.0	N/A	2.2	14.6	36.5
Lincoln Electric Holdings, Inc.	LECO	NasdaqGS	USD	168.12	9,652.0	-5.6	21.5	20.0	153.56	1.7	45.2	46.6
Pentair plc	PNR	NYSE	USD	58.36	9,647.0	-8.8	39.4	16.0	56.01	1.5	18.0	38.8
RBC Bearings Incorporated	RBC	NYSE	USD	220.62	6,368.0	-5.9	-8.8	41.0	N/A	N/A	7.2	33.7
The Middleby Corporation	MIDD	NasdaqGS	USD	115.61	6,197.0	-9.4	-16.4	14.0	N/A	N/A	16.7	46.7
The Timken Company	TKR	NYSE	USD	69.50	4,937.0	-4.0	2.3	12.0	N/A	1.9	18.0	42.1
Watts Water Technologies, Inc.	WTS	NYSE	USD	170.69	5,691.0	-0.6	24.3	22.0	159.60	0.8	20.6	6.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

ITT Inc.

Analyst Research Notes and other Company News

August 03, 2023
05:29 PM ET... CFRA Keeps Buy Rating on Shares of ITT Inc. (ITT 102.04****):
We lift our 12-month target to $110 from $100, valuing shares at 19.4x our 2024 EPS view (increased to $5.65 from $5.46; our 2023 EPS lifted to $5.12 from $4.94), near the middle of ITT's five-year forward average range. ITT posted Q2 adjusted EPS of $1.33 vs. $0.98 (+36% Y/Y), beating the consensus expectations $0.15. Q2 sales rose 14% Y/Y (+12% organic), primarily driven by 23% Y/Y growth in Industrial Process (35% in total Q2 sales) and 11% growth in Motion Tech (44%), backed by pricing across each segment. Book-to-bill remained over 1 in Q2, with orders keeping a backlog over $1.2 billion. Orders and sales are being supported by a number of sources including pump project wins and aftermarket demand, commercial aerospace activity, and Friction OE and rail share gains. Better-than-expected sales led to adjusted operating margin expansion of 280 bps to 18.7%. We're encouraged by sustained support from end markets, strengthening profitability, and elevated backlog, and reiterate a Buy view on ITT shares. / Jonathan Sakraida

May 04, 2023
03:06 PM ET... CFRA Reiterates Buy Rating on Shares of ITT Inc. (ITT 82.04****):
We adjust our 12-month price target to $100 from $102, valuing shares at 18.4x our 2024 EPS estimate (reduced to $5.46 from $5.53; our 2023 EPS estimate kept at $4.94), in line with ITT's five-year forward average. ITT posts Q1 adjusted EPS of $1.17 vs. $0.97 (+21% Y/Y), $0.05 above consensus. Revenues increased 10% Y/Y (in line with organic growth), driven by higher volumes and pricing actions within the Industrial Process business (33% of sales; +32% Y/Y). Adjusted operating margin expanded 150 bps Y/Y, with profitability gains being led by an 800 bps improvement in Industrial margin following investments in lean manufacturing. Demand remains robust from commercial aerospace and defense markets, though softening in industrial connectors led to a net decline in orders within Connect & Control Tech. We expect demand for parts, services, and valves in Industrial to drive overall order growth in the coming quarters. Backlog remains over $1 billion, leaving room for gains on improved conversion. / Jonathan Sakraida

April 06, 2023
12:17 AM ET... CFRA Adds ITT Inc. to the Small-Mid Cap Growth Portfolio (ITT 81.29****):
We are adding shares of ITT to the portfolio given our increasing confidence across its growing and diversifying business model. We also note ITT's elevated backlog across its businesses, easing supply chain headwinds, and strong pricing trends that set up a favorable landscape. Looking ahead, we forecast revenue growth to be driven by organic growth from pricing and volume gains, backed by demand for industrial pumps, OE brake pads, aerospace & defense components, and EV & medical connectors. We see healthy momentum in aerospace demand while oil & gas markets are expected to remain supportive, with ITT diversifying and broaden its energy exposure (i.e., hydrogen/LNG). We are encouraged by the company's electrified platform wins within the friction business, as ITT is investing in EVs and other technology to ensure it remains a market leader, which we see bearing fruit through sales and margin gains. ITT replaces Hexcel Corp. (HXL) from the Small-Mid Cap Growth Portfolio, which was downgraded to Sell. / Angelo Zino, CFA

February 09, 2023
03:06 PM ET... CFRA Maintains Buy View on Shares of ITT Inc. (ITT 89.42****):
We raise our 12-month price target to $102 from $92, valuing shares at 18.4x our 2024 EPS estimate (initiated at $5.53; 2023 EPS forecast reduced to $4.94 from $5.10), in line with ITT's five-year forward average. ITT posts Q4 adj-EPS of $1.29 vs. $1.06 (+22% Y/Y), beating consensus by $0.05. Sales rose 13% (+17% organic) over the prior year, reflecting contributions from both pricing recovery actions and higher volumes. ITT benefited from double-digit organic growth across its businesses, with Industrial Process being a standout (+27% Y/Y). Volume and pricing flowed to adj-operating margin, expanding 80 bps Y/Y. Backlog reached more than $1.1 billion during the quarter (up 22% Y/Y) on continued momentum in orders. We see a number of factors bolstering results in 2023 including pricing benefits, cost reductions, elevated backlog, improving supply chains, strong demand from commercial aerospace/defense, and EV market share gains. / Jonathan Sakraida

November 03, 2022
10:40 AM ET... CFRA Reiterates Buy Opinion on Shares of ITT Inc. (ITT 72.60****):
We reduce our 12-month target price to $92 from $94, valuing shares at 18.0x our 2023 EPS estimate of $5.10 (down from $5.28; 2022 EPS forecast lowered by $0.06 to $4.40), slightly below ITT's five-year forward average of 18.4x. ITT posts Q3 adj-EPS of $1.20 vs. $1.00 (+20% Y/Y), $0.03 above the consensus estimate. Revenue grew 9% Y/Y (organic growth of 15%) driven by broad-based strength in volumes and pricing realization. Demand for pumps, connectors, and aerospace & defense components persisted in Q3, resulting in organic order growth of 13% Y/Y. ITT's Motion Tech business continues to make gains with electrified vehicle platform awards, winning 26 in Q3. Margin pressure from supply chain challenges, inflation, and FX impacts were significant during the quarter, though higher volumes, pricing, and productivity enhancements managed to drive 140 bps of adj-operating margin expansion Y/Y to 16.9%. Moving into 2023, we anticipate supply chain issues and inflationary pressures easing. / Jonathan Sakraida

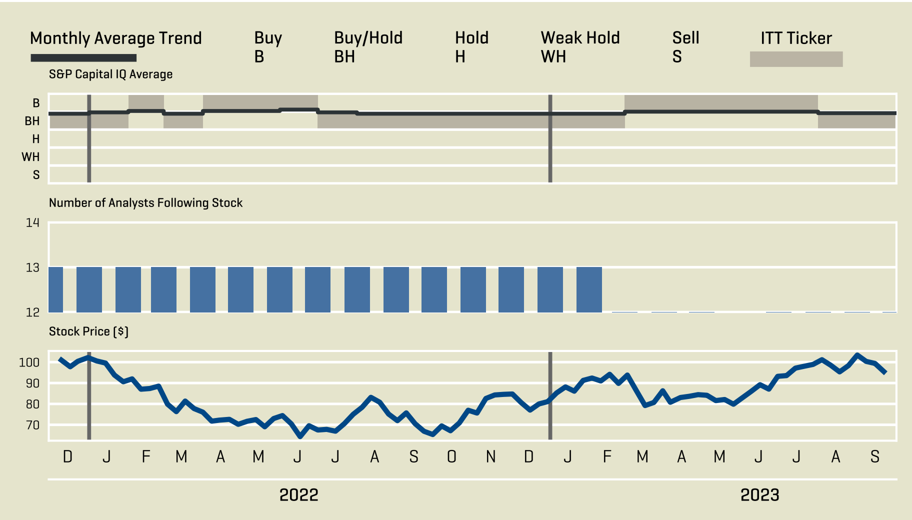
August 04, 2022
01:45 PM ET... CFRA Keeps Buy Opinion on Shares of ITT Inc. (ITT 77.20****):
We lower our 12-month target price by $2 to $94, valuing shares at 21x our 2022 EPS estimate of $4.46 (down from $4.52), above ITT's five-year average of 18.5x given our outlook for benefits derived from strong end-market demand. We keep our 2023 EPS estimate at $5.28. ITT posts Q2 adj-EPS of $0.98 vs. $0.94, just above the $0.97 consensus. Sales rose 6% (organic +10%) in the quarter, driven by pricing actions across ITT's businesses and strong demand for pump, connectors, and aerospace components. Connect & Control (CCT) was a standout in organic growth, up 25% Y/Y off higher volumes and pricing. Organic orders remain strong in Industrial Process and CCT, with orders growing 26% and 17%, respectively. Adj-operating margin declined 60 bps Y/Y to 15.9%, as significant cost inflation in Motion Tech (MT) offset improved pricing, volume, and productivity. ITT views Q2 as the trough for MT operating margins, seeing signs of commodity inflation easing. We anticipate margin bouncing higher in 2H on easing headwinds. / Jonathan Sakraida

May 03, 2022
10:27 AM ET... CFRA Maintains Buy Opinion on Shares of ITT Inc. (ITT 72.35****):
We lower our 12-month target price by $2 to $96, valuing the shares at 21.2x our 2022 EPS estimate of $4.52 (lowered from $4.66) in line with peers and slightly above ITT's five-year average of 18.8x due to our expectation for ITT to benefit from recovering end-markets (oil & gas, aerospace, auto, chemical). We keep our 2023 EPS estimate at $5.28. ITT posts Q1 adjusted EPS of $0.97, in line with consensus. Revenue increased 4% (organic +7%), led by organic growth (+23.2%) in Connect & Control Technologies off of strong demand for connectors and aerospace components. Q1 demand was up broadly, with organic orders growth of 14%. Q1 adjusted operating margin fell to 16.0% (-150 bps Y/Y) on inflationary and supply chain headwinds, partially offset by pricing actions. ITT maintains its 2022 operating margin guidance of 17.6%-18.5%. We think supply chain issues will ease in 2H, with rebounding margins balancing out full-year results. / Jonathan Sakraida

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

ITT Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	8	67	8	8
Buy/Hold	1	8	1	2
Hold	3	25	3	2
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	12	100	12	12

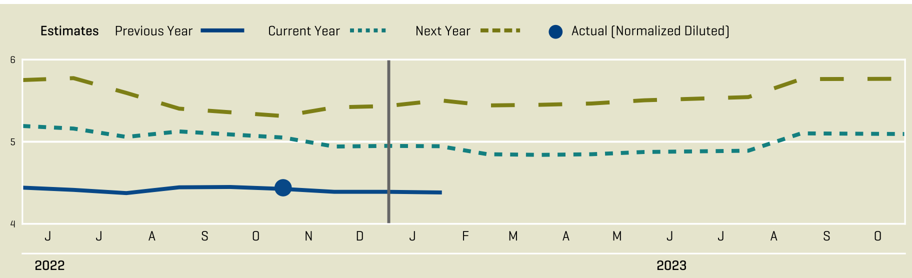
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that ITT will earn USD 5.10. For fiscal year 2024, analysts estimate that ITT's earnings per share will grow by 13.17% to USD 5.77.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	5.77	5.86	5.64	12	16.18
2023	5.10	5.20	5.04	12	18.31
2024 vs. 2023	**▲ 13%**	**▲ 13%**	**▲ 12%**	**N/A%**	**▼ -12%**
Q3'24	1.42	1.43	1.42	2	65.54
Q3'23	1.28	1.35	1.25	12	72.89
Q3'24 vs. Q3'23	**▲ 11%**	**▲ 6%**	**▲ 14%**	**▼ -83%**	**▼ -10%**

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs (American Depositary Receipts), and ADSs (American Depositary Shares) based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS (Stock Appreciation Ranking System), equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark (e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)), based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

(also known as **S&P Capital IQ Earnings & Dividend Rankings**) - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsulize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+	Highest	B	Below Average
A	High	B-	Lower
A	Above	C	Lowest
B+	Average	D	In Reorganization
NC	Not Ranked		

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus (average) EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
CAPEX - Capital Expenditures
CY - Calendar Year
DCF - Discounted Cash Flow
DDM - Dividend Discount Model
EBIT - Earnings Before Interest and Taxes
EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
EPS - Earnings Per Share
EV - Enterprise Value
FCF - Free Cash Flow
FFO - Funds From Operations
FY - Fiscal Year
P/E - Price/Earnings
P/NAV - Price to Net Asset Value
PEG Ratio - P/E-to-Growth Ratio
PV - Present Value
R&D - Research & Development
ROCE - Return on Capital Employed
ROE Return on Equity
ROI - Return on Investment
ROIC - Return on Invested Capital
ROA - Return on Assets
SG&A - Selling, General & Administrative Expenses
SOTP - Sum-of-The-Parts
WACC - Weighted Average Cost of Capital

Dividends on American Depository Receipts (ADRs) and American Depository Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ **5-STARS (Strong Buy):**
Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★☆ **4-STARS (Buy):**
Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★☆☆ **3-STARS (Hold):**
Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★☆☆☆ **2-STARS (Sell):**
Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★☆☆☆☆ **1-STAR (Strong Sell):**
Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:
Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:
Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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